

16-1 Between Monopoly and Perfect Competition

The previous two chapters analyzed markets with many competitive firms and markets with a single monopoly firm. In [Chapter 14](#), we saw that the price in a perfectly competitive market always equals the marginal cost of production. We also saw that, in the long run, entry and exit drive economic profit to zero, so the price also equals average total cost. In [Chapter 15](#), we saw how a monopoly firm can use its market power to keep price above marginal cost, leading to a positive economic profit for the firm and a deadweight loss for society. Competition and monopoly are the two extreme forms of market structure. Competition describes a market with many firms offering essentially identical products; monopoly describes a market with only one firm.

Although the cases of perfect competition and monopoly illustrate some important ideas about how markets work, most markets in the economy include elements of both these cases and, therefore, are not completely described by either of them. The typical firm in the economy faces competition, but the competition is not so rigorous that it makes the firm a price taker like the firms analyzed in [Chapter 14](#). The typical firm also has some degree of market power, but its market power is not so great that the firm can be described exactly by the monopoly model presented in [Chapter 15](#). In other words, many industries fall somewhere between the polar cases of perfect competition and monopoly. Economists call this situation *imperfect competition*.

One type of imperfectly competitive market is an [oligopoly \(a market structure in which only a few sellers offer similar or identical products\)](#), a market with only a few sellers, each offering a product similar or identical to the products offered by other sellers in the market. Economists often measure a market's domination by a small number of firms with a statistic called the *concentration ratio*, which is the percentage of total output in the market supplied by the four largest firms. In the U.S. economy, most industries have a four-firm concentration ratio under 50 percent, but in some industries, the biggest firms play a more dominant role. Highly concentrated industries include the market for light bulbs (which has a concentration ratio of 84 percent), batteries (87 percent), tobacco (88 percent), beer (88 percent), and home refrigerators and freezers (93 percent). These industries are best described as oligopolies. In the next chapter we see that the small number of firms in oligopolies makes strategic interactions among them a key part of the analysis of how these markets work. That is, in choosing how much to produce and what price to charge, each firm in an oligopoly is concerned not only with what its competitors are doing but also with how its competitors would react to what it might do.

A second type of imperfectly competitive market is called [monopolistic competition \(a market structure in which many firms sell products that are similar but not identical\)](#)

, a market structure in which there are many firms selling similar but not identical products. In a monopolistically competitive market, each firm has a monopoly over the product it makes, but many other firms make similar products that compete for the same customers.

To be more precise, monopolistic competition describes a market with the following attributes:

- *Many sellers:* There are many firms competing for the same group of customers.
- *Product differentiation:* Each firm produces a product that is at least slightly different from those of other firms. Thus, rather than being a price taker, each firm faces a downward-sloping demand curve.
- *Free entry and exit:* Firms can enter or exit the market without restriction. Thus, the number of firms in the market adjusts until economic profits are driven to zero.

A moment's thought reveals a long list of markets with these attributes: books, computer games, restaurants, piano lessons, cookies, clothing, and so on.

Monopolistic competition, like oligopoly, is a market structure that lies between the extreme cases of perfect competition and monopoly. But oligopoly and monopolistic competition are quite different. Oligopoly departs from the perfectly competitive ideal of [Chapter 14](#) because there are only a few sellers in the market. The small number of sellers makes rigorous competition less likely and strategic interactions among them vitally important. By contrast, a monopolistically competitive market has many sellers, each of which is small compared to the market. It departs from the perfectly competitive ideal because each of the sellers offers a somewhat different product.

[Figure 1](#) summarizes the four types of market structure. The first question to ask about any market is how many firms there are. If there is only one firm, the market is a monopoly. If there are only a few firms, the market is an oligopoly. If there are many firms, we need to ask another question: Do the firms sell identical or differentiated products? If the many firms sell identical products, the market is perfectly competitive. But if the many firms sell differentiated products, the market is monopolistically competitive.

Figure 1

The Four Types of Market Structure

Economists who study industrial organization divide markets into four types: monopoly, oligopoly, monopolistic competition, and perfect competition.

Because reality is never as clear-cut as theory, at times you may find it hard to decide what structure best describes a particular market. There is, for instance, no magic number that separates “few” from “many” when counting the number of firms. (Do the approximately dozen companies that now sell cars in the United States make this market an oligopoly, or is the market more competitive? The answer is open to debate.) Similarly, there is no sure way to determine when products are differentiated and when they are identical. (Are different brands of milk really the same? Again, the answer is debatable.) When analyzing actual markets, economists have to keep in mind the lessons learned from studying all types of market structure and then apply each lesson as they deem appropriate.

Having defined the various types of market structure, we can continue our analysis of each of them. This chapter examines monopolistic competition, and the next examines oligopoly.

QuickQuiz

1. Which of the following conditions does NOT describe a firm in a monopolistically competitive market?
 - a. It sells a product different from its competitors.
 - b. It takes its price as given by market conditions.
 - c. It maximizes profit both in the short run and in the long run.
 - d. It has the freedom to enter or exit in the long run.
2. Which of the following markets best fits the definition of monopolistic competition?

- a. wheat
- b. tap water
- c. crude oil
- d. haircuts

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